Foundations of Business Performance Evaluation
Unit 1

Joyce F. Jamile

House Rules for Online Classes

- **Recording of this online class without consent** is strictly prohibited.

- Adhere to the proper behavior when having the online class.

- Everyone is encouraged to ask questions related to the topic/s discussed.

Unit 1 – Foundations of Business Performance Evaluation

- **Topics**
  - SWOT, Porter's Five Forces and PESTEL Analysis
  - Theories of IS
    - Technology Acceptance Model
    - DeLone and McLean IS Success Model
    - Diffusion of Innovation
- **References**

  - Arora, M. et al. (2021). Performance Management: Happiness and Keeping Pace with Technology. Routledge Taylor & Francis Group
  - Pereira, A. C. B., & de Castro Neto, M. (2020). A Business Performance Management Framework. *Trends and Innovations in Information Systems and Technologies*, 312–323. https://doi.org/10.1007/978-3-030-45688-7_32
  - Rajapakshe, W. (2023). Performance Management Process: Performance Planning and Monitoring. IGI Global Scientific Publishing

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- **Business Performance**

"Business performance refers to how effectively and efficiently an organization achieves its strategic goals, financial targets, and operational objectives over a defined period."

Multi-Dimensional

Encompasses financial, operational, customer, and employee dimensions

Goal-Oriented

Measured against predefined benchmarks and strategic objectives

Continuous Process

Ongoing monitoring, evaluation, and improvement cycle

Data-Driven

Relies on quantitative and qualitative data for assessment

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- **A bit of history…**

AI & Big Data: Predictive analytics, machine learning, and IS integration transform performance management.

Digital Metrics: ERP systems, CRM, and web analytics enabled real-time performance tracking.

Balanced Scorecard: Kaplan & Norton introduced a multi-dimensional performance framework.

Management Science: Operations research & management by objectives (MBO) emerged.

Financial Focus: ROI, profit & loss statements were the primary measures of business success.

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- **Dimensions of Business Performance**

Financial Performance

- Return on Investment (ROI)
- Cash Flow
- Profit Margins
- Revenue Growth
- Cost Efficiency

Customer Performance

- Customer Satisfaction
- Retention Rate
- Brand Loyalty
- Market Share
- Net Promoter Score

Operational Performance

- Process Efficiency
- Quality Metrics
- Production Output
- Supply Chain KPIs
- Cycle Time

People and Learning Performance

- Employee Engagement
- Skill Development
- Innovation Rate
- Leadership Bench
- Talent Retention

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- **Why it matters?**

Investor Confidence

Strong performance metrics attract investment and secure favorable financing terms.

Competitive Advantage

Businesses that track performance can identify strengths to leverage over rivals.

Strategic Alignment

Ensures all departments work toward unified organizational goals and targets.

Early Warning System

Detects operational problems and risks before they become critical issues.

Continuous Improvement

Provides evidence-based insight to drive ongoing optimization and innovation.

Stakeholder Communication

Demonstrates accountability and transparency to customers, employees, and partners.

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- **INFORMATION SYSTEMS…**

are not just tools —

they are the backbone of modern society.

"Information Systems are integrated sets of components for collecting, storing, processing, and communicating data to support decision-making, coordination, and organizational control."

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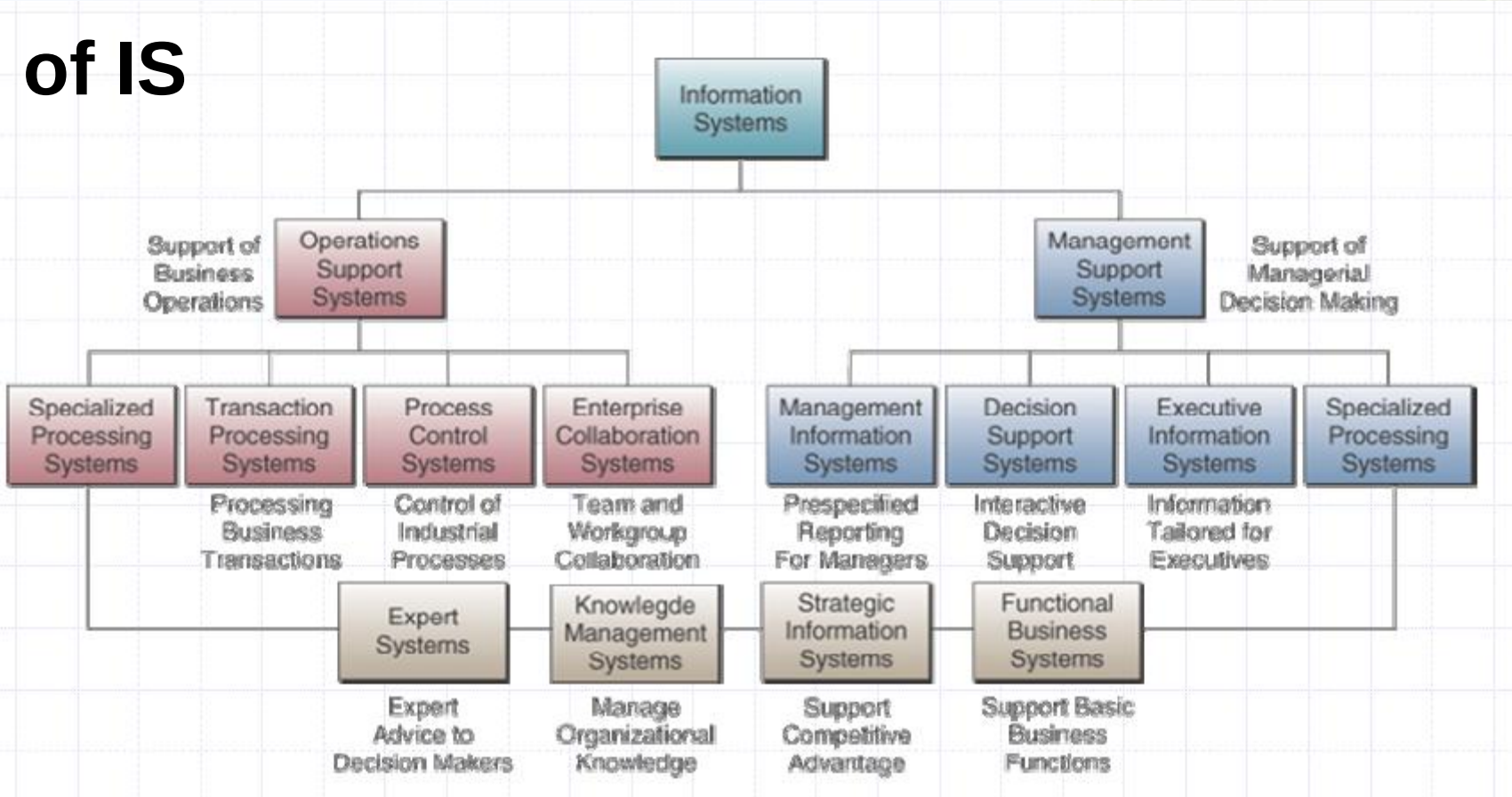
- **Types of IS**



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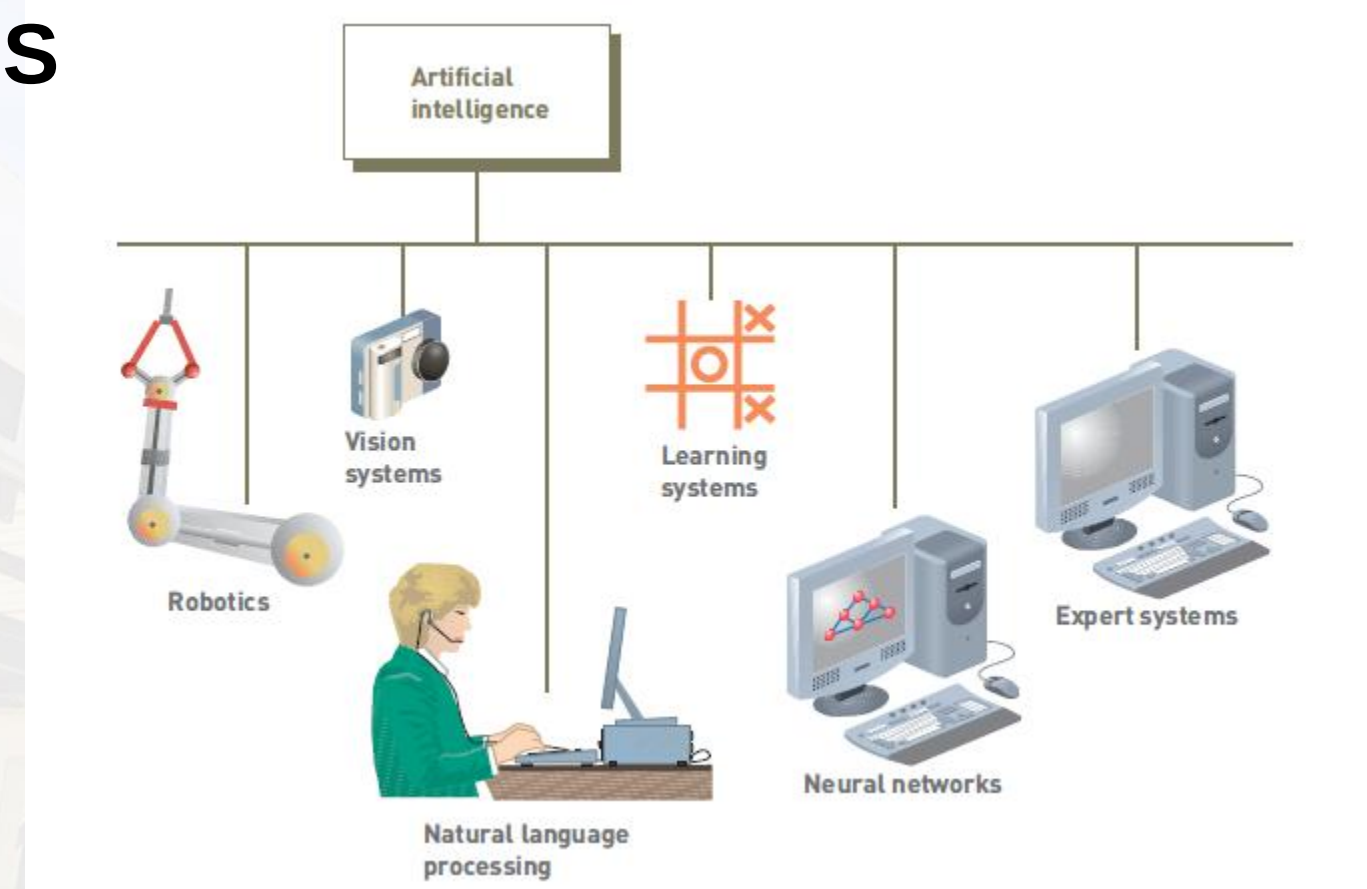
- **Types of IS**



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- **How IS drives Business Performance?**

IS Capabilities	Performance Outcomes
• Real-time data collection & monitoring • Automated reporting & dashboards • Cross-functional data integration • Predictive & prescriptive analytics • Process automation & optimization	• Faster, better-informed decisions • Reduced operational costs • Improved customer satisfaction • Increased revenue and profitability • Enhanced competitive positioning

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- **KPIs, Dashboards and Analytics**

Key Performance Indicators (KPIs)

Quantifiable metrics aligned to strategic goals. IS enables real-time KPI tracking across all business units, replacing manual reporting with automated, always-on measurement.

Examples: Revenue per employee • Customer acquisition cost • Net profit margin • Inventory turnover

Business Intelligence (BI) Dashboards

Visual IS tools that consolidate data from multiple sources into a single interface. Allows executives and managers to monitor performance at a glance and drill into specifics.

Examples: Executive scorecards • Operational dashboards • Sales performance portals • Financial analytics

Balanced Scorecard via IS

IS platforms implement Kaplan & Norton's framework digitally — tracking financial, customer, internal process, and learning & growth perspectives simultaneously.

Examples: Financial targets • Customer metrics • Process efficiency • People & innovation

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- **Porter's Five Forces Model**

Porter, Michael (1979). Harvard Business Review

Business Performance + Information Systems =
Sustainable Competitive Advantage

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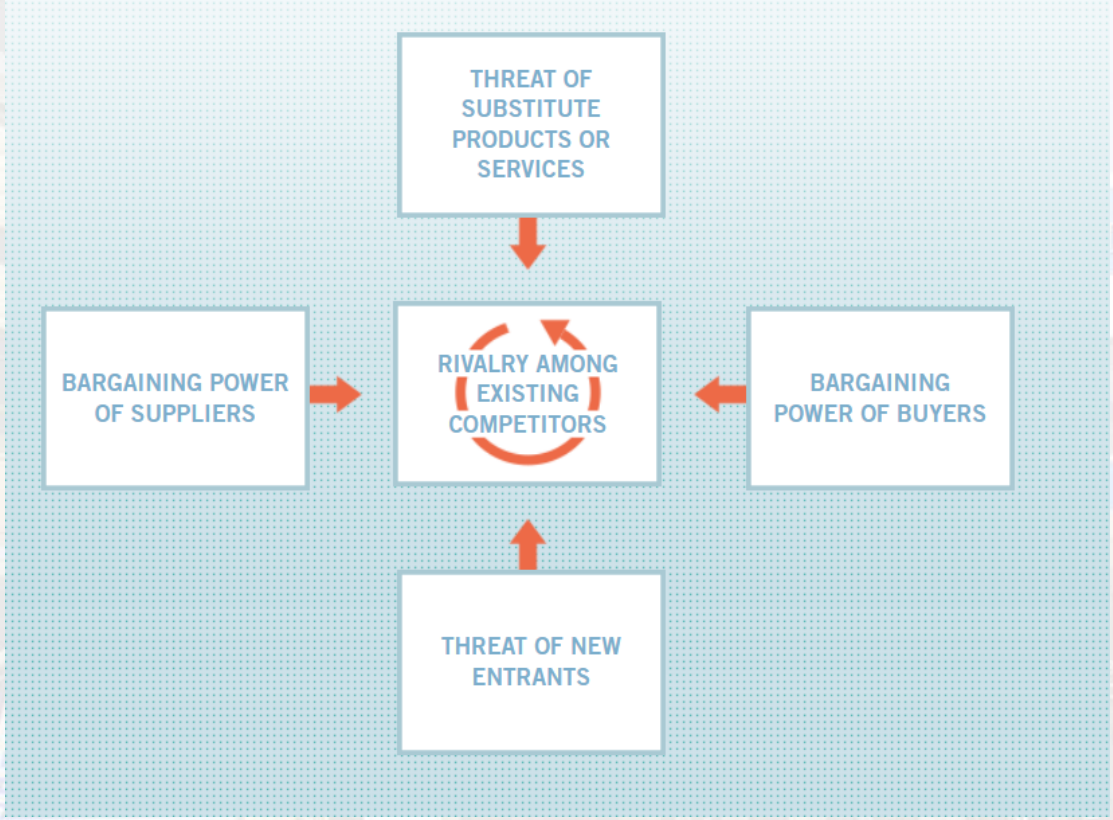

A framework for understanding the competitive forces at work in an industry, and which drive the way economic value is divided among industry actors.

Industry lens

https://www.isc.hbs.edu/strategy/business-strategy/Pages/the-five-forces.aspx

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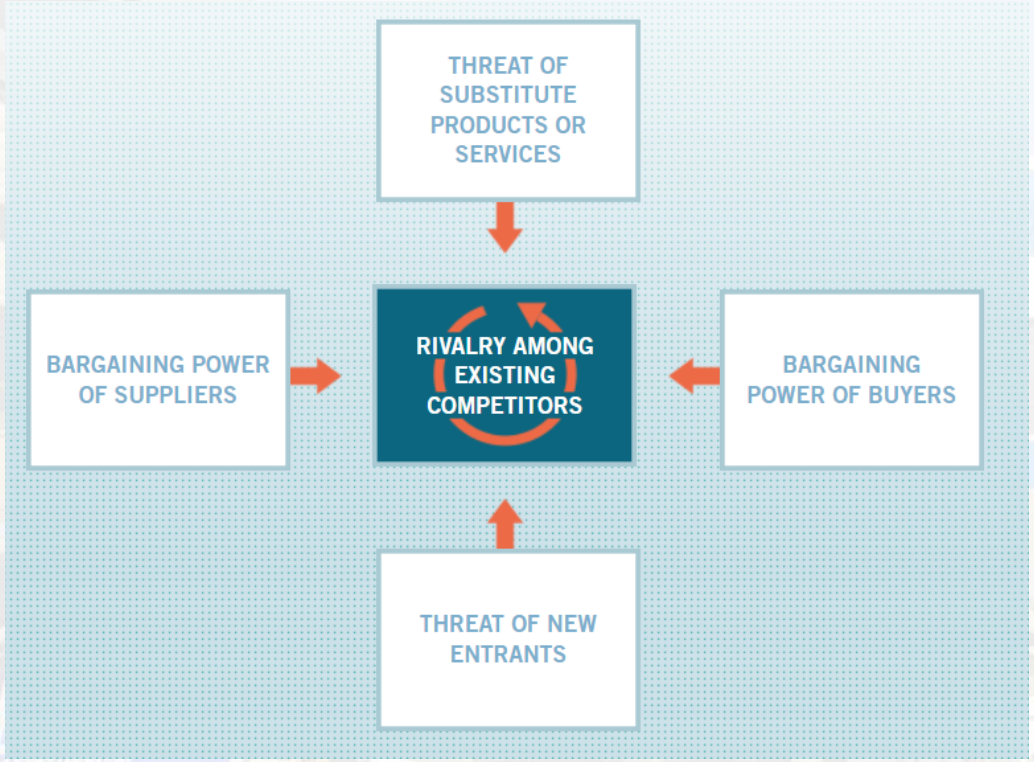

The degree of competition between existing firms in an industry. High rivalry reduces profitability for all players; low rivalry allows firms to earn above-average returns.

KEY DRIVERS

- Number and size of competitors in the market
- Industry growth rate (slow growth = more rivalry)
- Product differentiation and switching costs
- High fixed costs forcing capacity utilization
- High exit barriers keeping weak firms competing

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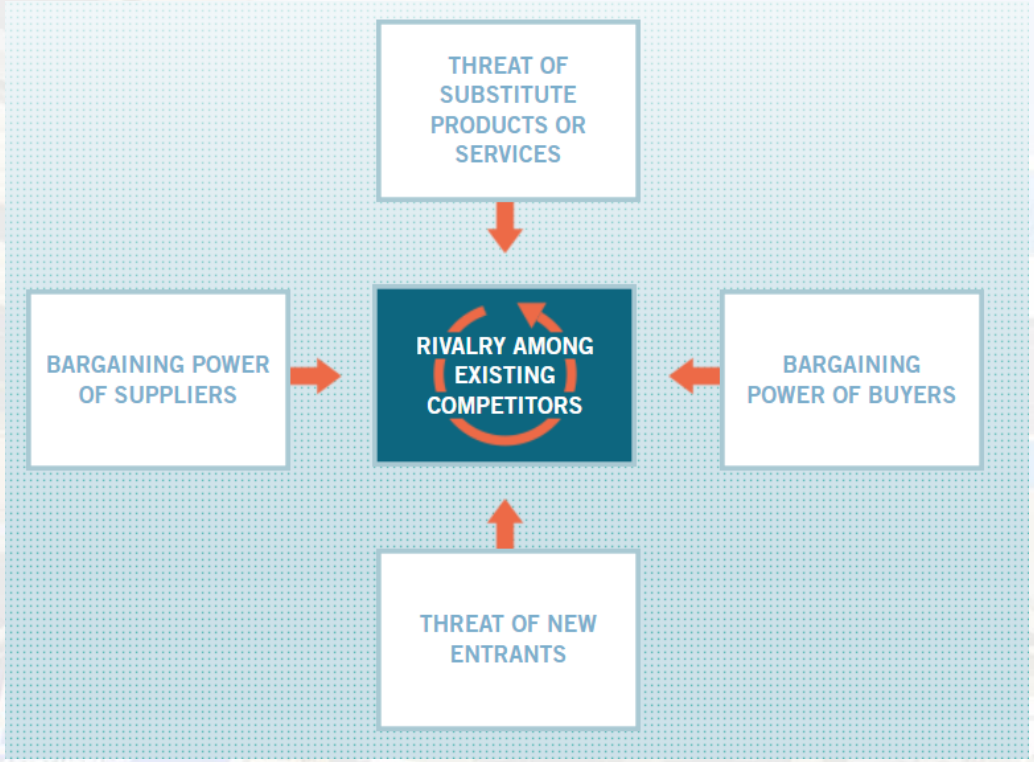

RIVALRY AMONG EXISTING COMPETITORS

If rivalry is intense, it drives down prices or dissipates profits by raising the cost of competing. Companies compete away the value they create. Rivalry tends to be especially fierce if:

- Competitors are numerous or are roughly equal in size and market position
- Industry growth is slow
- There are high fixed costs, which create incentives for price cutting
- Exit barriers are high
- Rivals are highly committed to the business
- Firms have differing goals, diverse approaches to competing, or lack familiarity with one another

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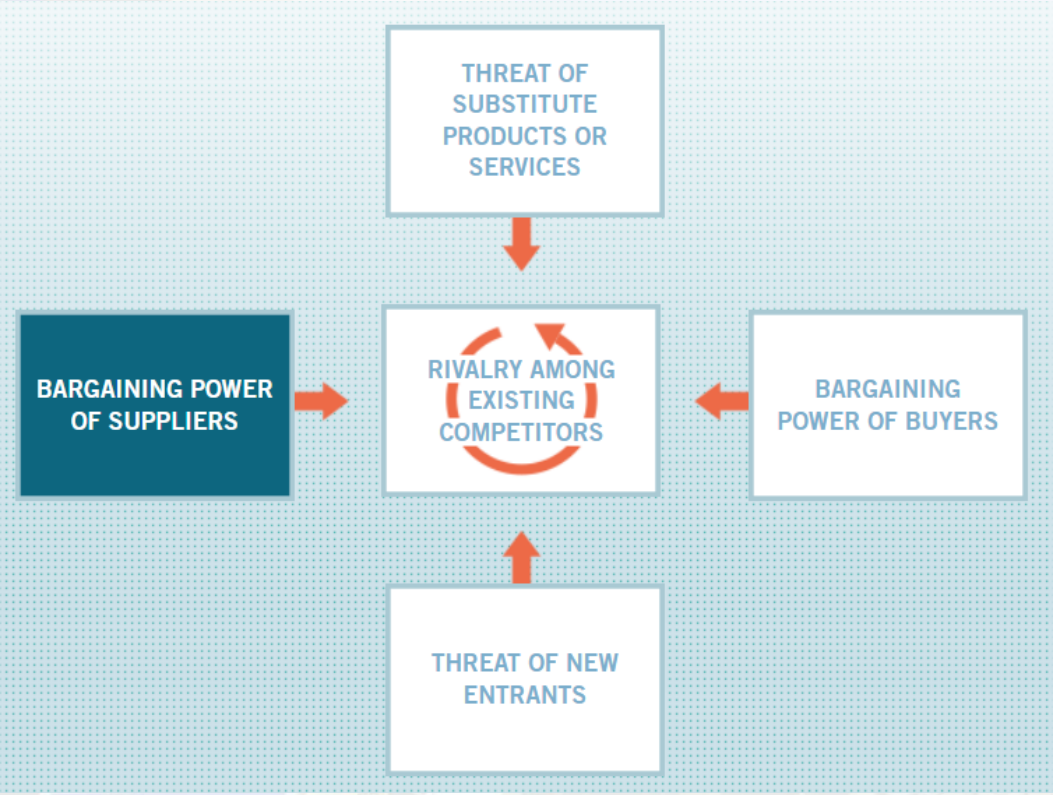

Powerful suppliers can raise input prices or reduce quality, squeezing industry profitability. The fewer supplier alternatives, the higher their power.

Supplier Power is HIGH when:

- Few suppliers, many buyers
- Unique or differentiated inputs
- High switching costs for the industry
- Forward integration threat (supplier → manufacturer)
- Industry is not a key customer for supplier

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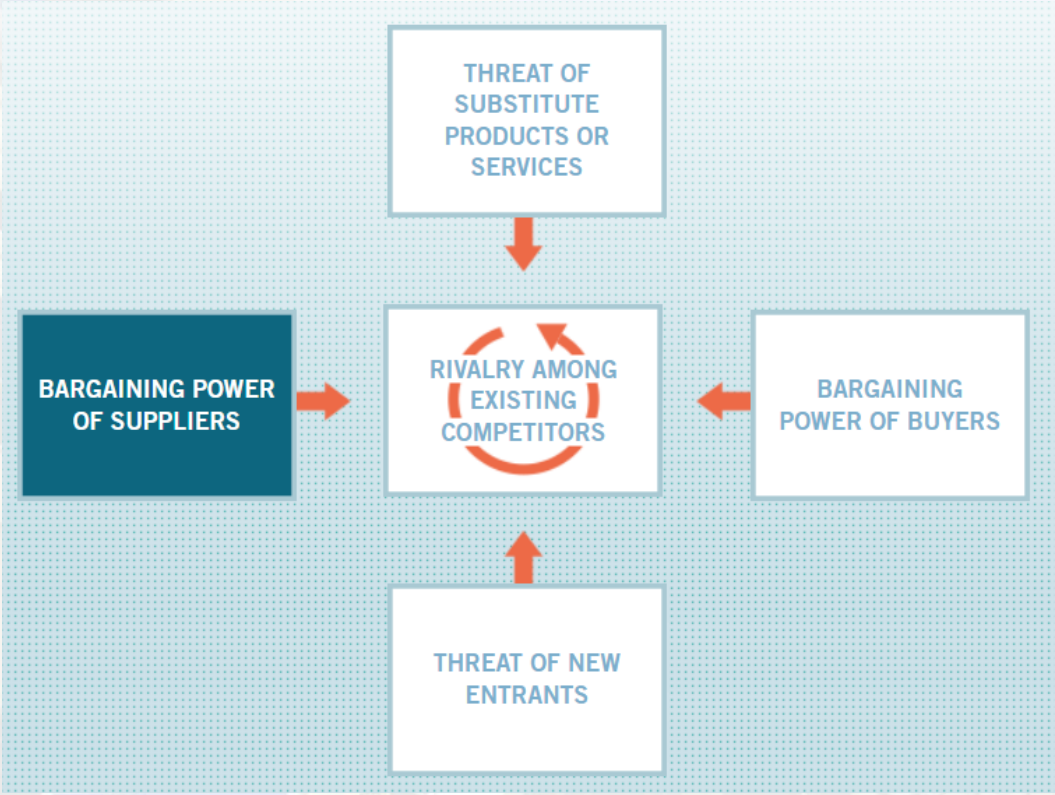

BARGAINING POWER OF SUPPLIERS

Companies in every industry purchase various inputs from suppliers, which account for differing proportions of cost. Powerful suppliers can use their negotiating leverage to charge higher prices or demand more favorable terms from industry competitors, which lowers industry profitability. If there are only one or two suppliers of an essential input product, for example, or if switching suppliers is expensive or time consuming, a supplier group wields more power.

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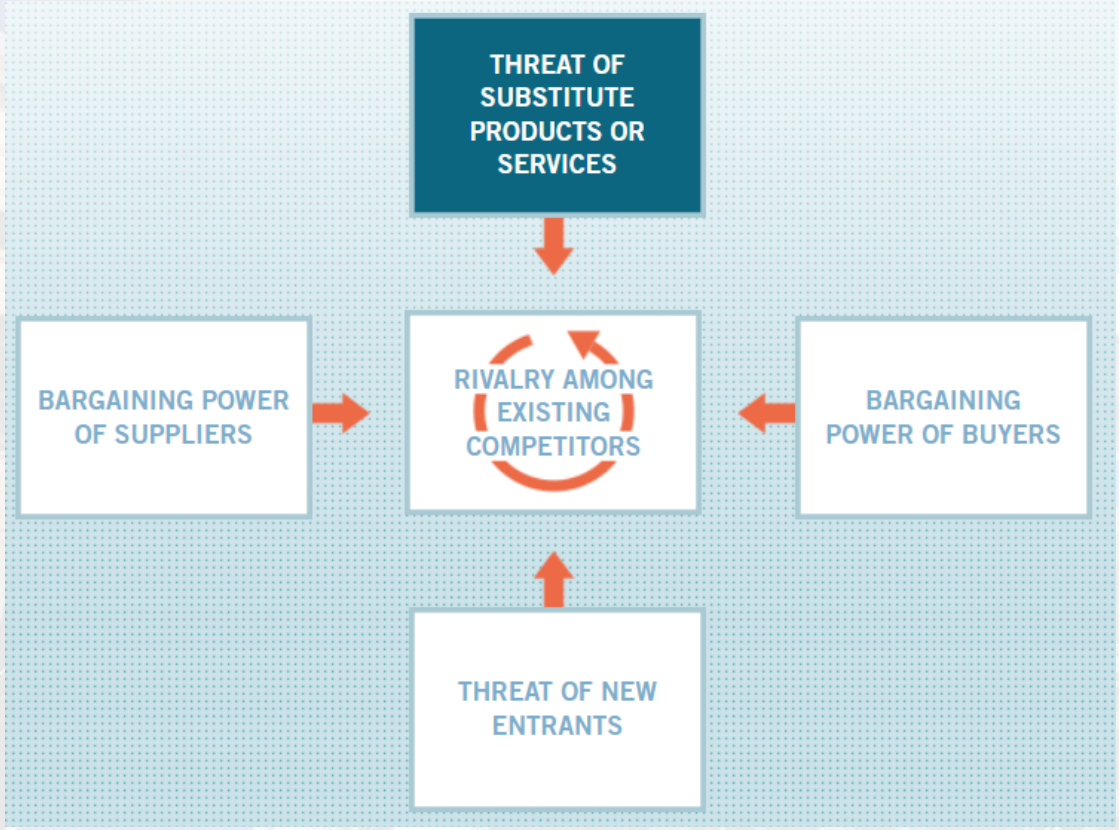

Substitutes are products/services from other industries that meet the same customer need, placing a ceiling on pricing power.

Factors Increasing Substitute Threat:

- Low switching costs for buyers
- High price-performance of substitutes
- High buyer willingness to substitute
- Digital disruption replacing physical products
- Low complementary product reliance

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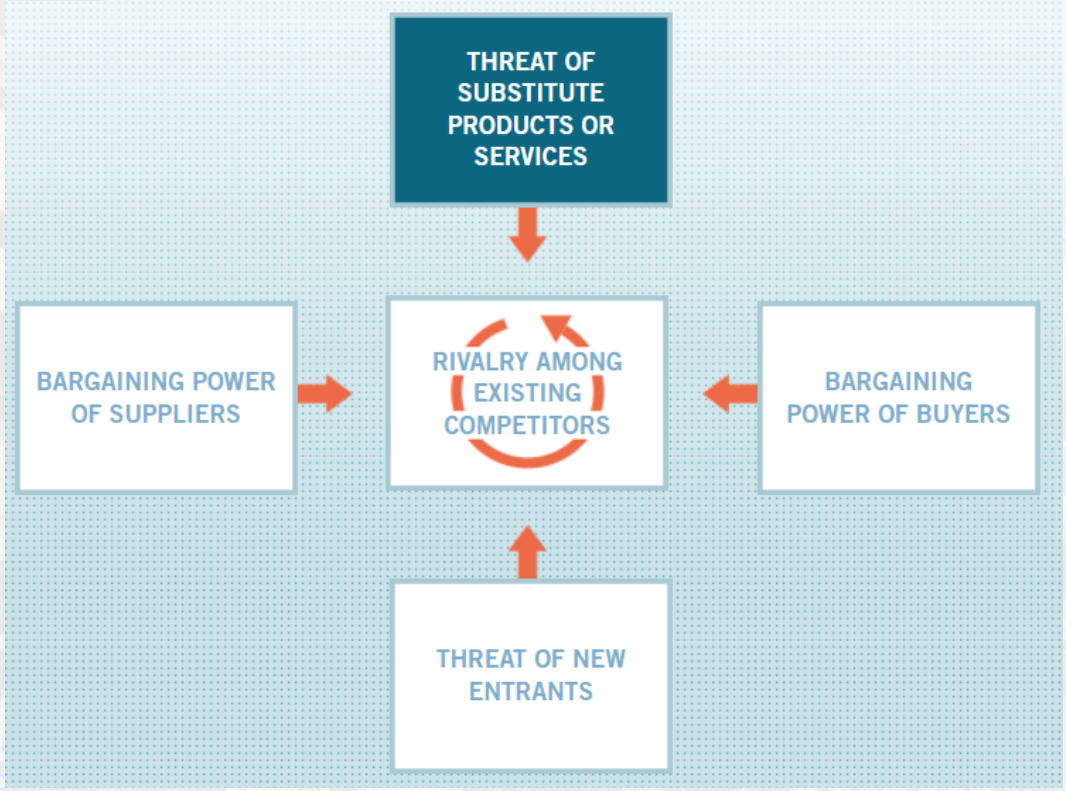

THREAT OF SUBSTITUTE PRODUCTS OR SERVICES

A substitute is another product or service that meets the same underlying need that the industry's product meets in a different way. Videoconferencing is a substitute for travel. Email is a substitute for express mail.

The threat of a substitute is high if it offers an attractive price-performance trade-off versus the industry's product, especially if the buyer's cost of switching to the substitute is low.

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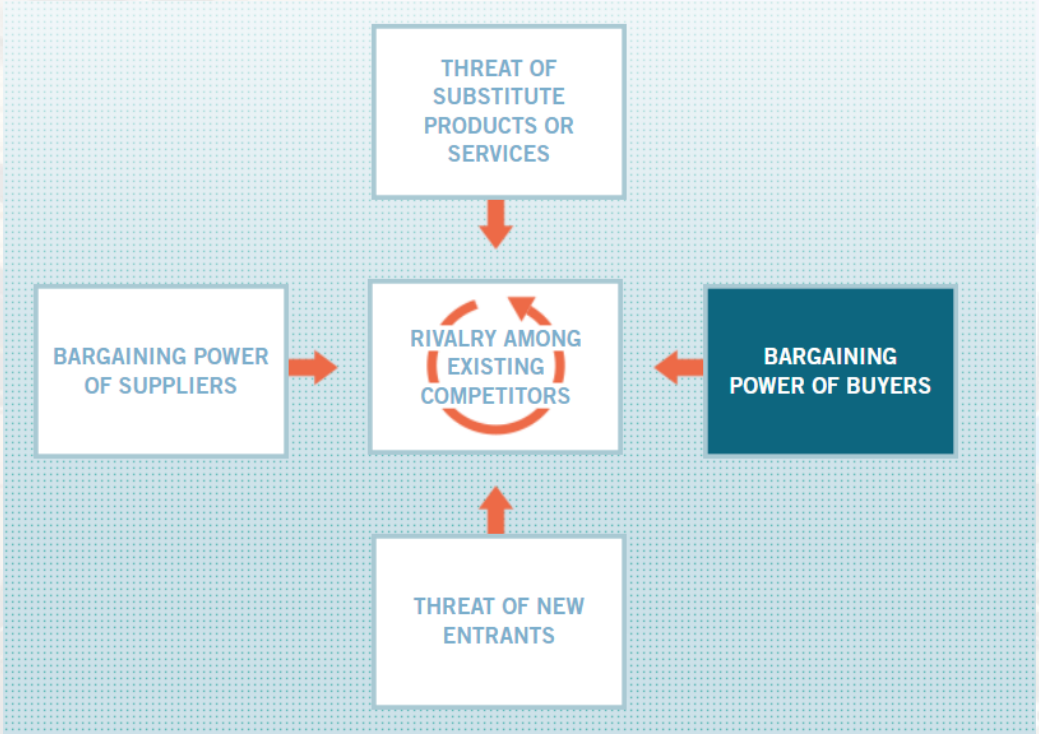

Powerful buyers can demand lower prices, higher quality or better terms. Their power depends on volume, information, and switching costs.

Buyer Power is HIGH when:

- Few buyers purchasing large volumes
- Products are undifferentiated/standardized
- Low switching costs for buyers
- Backward integration threat (buyer → producer)
- Buyers are price-sensitive and well informed

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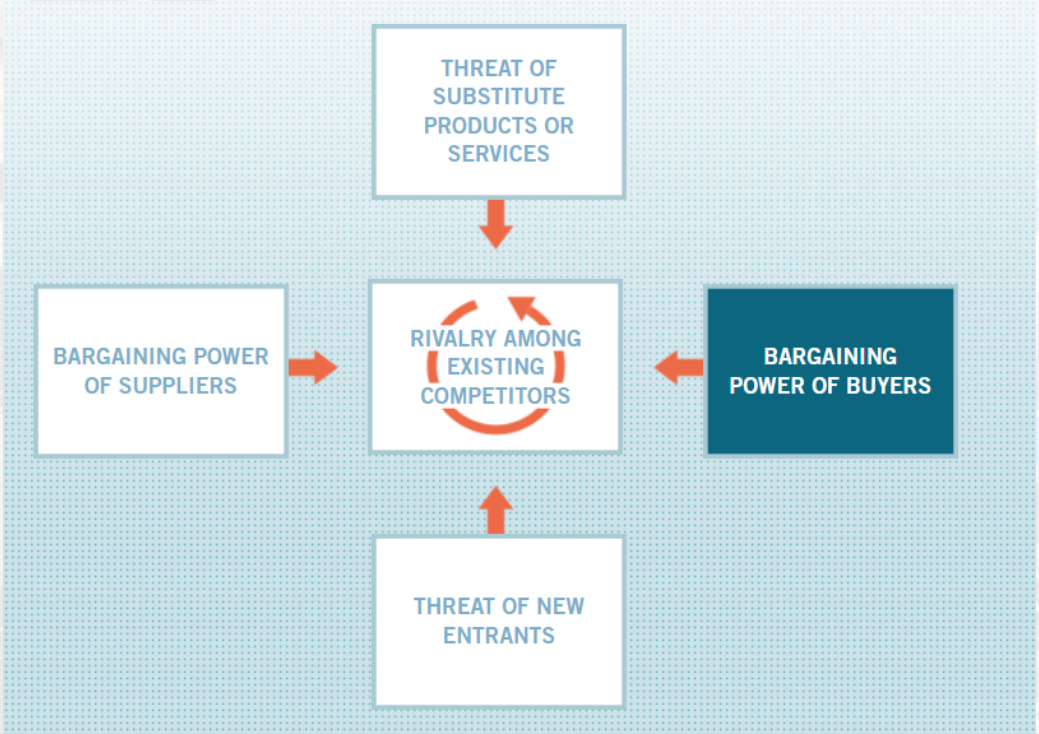

BARGAINING POWER OF BUYERS

Powerful customers can use their clout to force prices down or demand more service at existing prices, thus capturing more value for themselves. Buyer power is highest when buyers are large relative to the competitors serving them, products are undifferentiated and represent a significant cost for the buyer, and there are few switching costs to shifting business from one competitor to another. They can play rivals against each other—especially if an industry's products are undifferentiated, it's inexpensive to switch loyalties, and price trumps quality.

There may be multiple buyer segments in a given industry with different levels of power.

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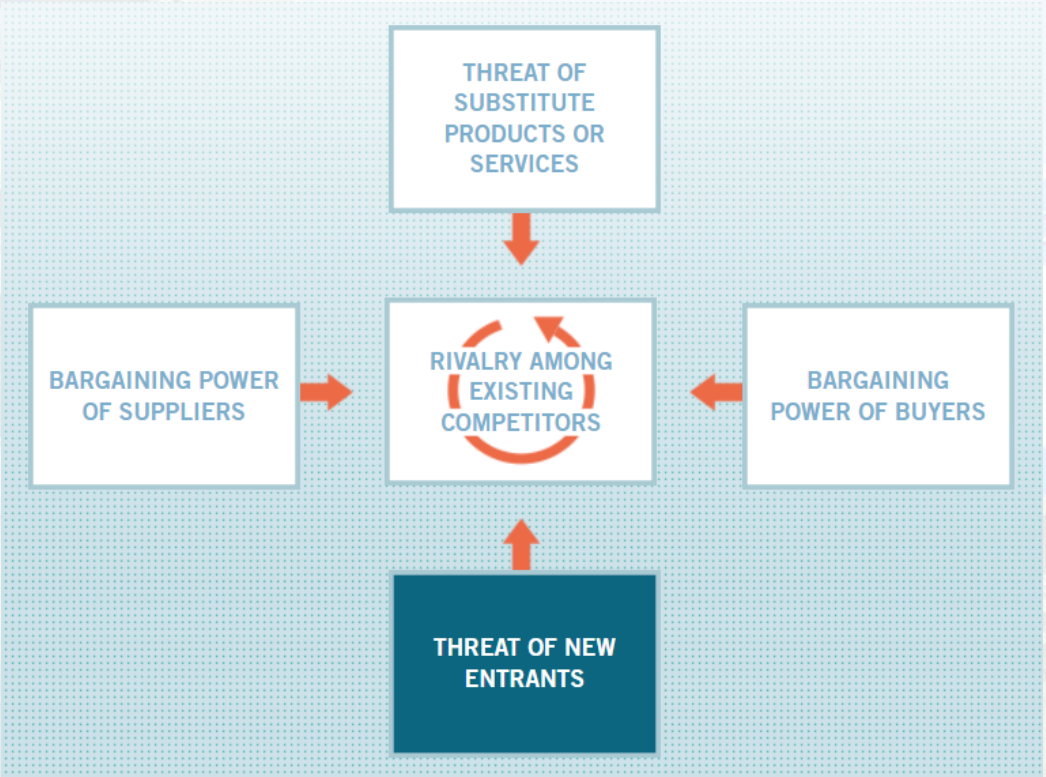

New competitors entering an industry increase competition and can erode existing firms' market share and profitability.

Barriers to Entry (reduce threat):

- Economies of scale
- Capital requirements & patents
- Brand loyalty & switching costs
- Government regulation & licensing
- Access to distribution channels

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THREAT OF NEW ENTRANTS

The threat of new entrants into an industry can force current players to keep prices down and spend more to retain customers. Actually, entry brings new capacity and pressure on prices and costs. The threat of entry, therefore, puts a cap on the profit potential of an industry. This threat depends on the size of a series of barriers to entry, including economies of scale, to the cost of building brand awareness, to accessing distribution channels, to government restrictions.

The threat of entry also depends on the capabilities of the likely potential entrants. If there are well established companies in the industry operating in other geographic regions, for example, the threat of entry rises.

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- **Porter's Five Forces Model**

IN PRACTICE: THE AIRLINE INDUSTRY

Bargaining Power of Buyers — HIGH

Despite the fragmentation of buyers, airlines have a hard time differentiating themselves and creating customer loyalty, switching costs for buyers are nearly non-existent, and the proliferation of budget airlines undermines price levels.

Bargaining Power of Suppliers — HIGH

The major supplier groups to the airline industry are aircraft, engines, airports, and fuel suppliers. Each of the major supplier groups are highly concentrated and has huge clout. Airlines often face high cost of switching suppliers because of the benefits of fleet compatibility and the necessity of utilizing major airports.

https://www.isc.hbs.edu/strategy/business-strategy/Pages/the-five-forces.aspx

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- **Porter's Five Forces Model**

IN PRACTICE: THE AIRLINE INDUSTRY

Threat of New Entrants — HIGH

The airline industry continues to grow. The cost of entry is low with ready access to aircraft and financing, availability of skilled personnel, and access to gates. A steady stream of new airlines has entered the industry over the last several decades. New airlines often have advantages due to less seniority of personnel, which lowers wages, and newer aircraft with greater fuel efficiency.

Threat of Substitute Products or Services — LOW

There is no effective substitute for air travel, especially for longer distances. For short haul travel, substitutes include automobile, bus or rail travel.

Rivalry Among Existing Competitors — HIGH

There are numerous airlines who compete for every route. Since differentiation is low and fixed costs are high, there is constant pressure for price competition, and to match improvements in technology, cabin features, and customer service.

https://www.isc.hbs.edu/strategy/business-strategy/Pages/the-five-forces.aspx

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- **Porter's Five Forces Model**

COST LEADERSHIP	DIFFERENTIATION	FOCUS STRATEGY
Become the lowest-cost producer by exploiting scale economies, proprietary technology, and operational efficiency. Shields against all five forces by creating price buffers.	Create a unique product/service that customers value and will pay a premium for. Reduces rivalry sensitivity and neutralizes buyer bargaining power through loyalty.	Concentrate on a narrow market segment (cost focus or differentiation focus). Reduces exposure to certain forces by serving niche customers with tailored offerings.

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- **Strategic Applications of Porter's Five Forces**

Entry Decisions

Assess industry attractiveness before entering

Analysis

Evaluate target firm competitive position

Pricing Strategy

Understand customer/ supplier leverage

Innovation Planning

Identify where disruption threats originate

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- **PESTEL Analysis – macro lens**

P — Political
Government policies, trade agreements, political stability, taxation

E — Economic
GDP growth, inflation, interest rates, unemployment, exchange rates

S — Social
Demographics, culture, lifestyle changes, consumer attitudes

T — Technological
R&D activity, automation, AI, digital disruption, innovation

E — Environmental
Climate change, sustainability, carbon regulations, ESG pressure

L — Legal
Employment law, consumer protection, IP rights, data privacy

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- **PESTEL Analysis**

P – POLITICAL FACTORS

How government policy and political conditions affect business operations and strategy.

Government Stability:	Political risk, regime changes, elections affecting business confidence
Trade Policy:	Tariffs, import/export restrictions, trade agreements (e.g., RCEP, EU Single Market)
Taxation Policy:	Corporate tax rates, VAT, incentives for R&D or green investment
Regulation:	Industry-specific rules, anti-trust laws, labor regulations
Fiscal Policy:	Government spending priorities that create or remove market opportunities

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• PESTEL Analysis

E – ECONOMIC FACTORS

How macroeconomic conditions shape consumer purchasing power and business cost structures.

GDP Growth:	Economic expansion or recession affects demand across all industries
Inflation Rate:	Drives input costs up; erodes consumer purchasing power
Interest Rates:	Affects capital investment costs, consumer credit, and mortgage markets
Unemployment:	Influences consumer confidence, wage costs, and labor availability
Exchange Rates:	Critical for exporters and importers; affects international competitiveness

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- **PESTEL Analysis**

S – SOCIAL FACTORS

How societal trends, cultural values, and demographic shifts affect market demand and workforce dynamics.

Demographics:	Age distribution, urbanization, population growth affecting market size
Cultural Trends:	Changing values (health, sustainability) reshaping consumer behavior
Education Levels:	Impacts skill availability, innovation capacity, and consumer sophistication
Social Mobility:	Income inequality and class dynamics affecting purchasing segments
Lifestyle Changes:	Remote work, gig economy, wellness trends creating new markets

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- **PESTEL Analysis**

T – TECHNOLOGICAL FACTORS

How technology innovation, digital transformation, and R&D investment shape competitive advantage and disruption.

Digital Disruption:	AI, cloud, and automation transforming industries (e.g., fintech vs. banks)
R&D Investment:	Pace of innovation determining product life cycles and first-mover advantage
Automation:	Robotics and AI reshaping manufacturing cost structures and labor needs
Infrastructure:	Broadband, 5G, and cloud access enabling new business models globally
Cybersecurity:	Data protection requirements adding cost and creating new market needs

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• PESTEL Analysis

E – ENVIRONMENTAL FACTORS

How ecological concerns, climate change, and sustainability pressures influence strategic decisions and operating costs.

Climate Change:	Physical risks to supply chains; transition risks from decarbonization policy
Carbon Regulations:	Emissions trading schemes, carbon taxes, net-zero mandates affecting cost
ESG Pressures:	Investor and consumer demands for environmental, social, governance reporting
Resource Scarcity:	Rising costs and availability risk for water, rare earth metals, energy
Circular Economy:	Regulatory and market push toward waste reduction and product lifecycle

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• PESTEL Analysis

L – LEGAL FACTORS

How laws and legal systems constrain business activity, protect consumers, and define fair competition.

Employment Law:	Minimum wage, redundancy, anti-discrimination, and health & safety rules
Consumer Protection:	Product liability, warranty obligations, and fair trading requirements
IP Rights:	Patent protection, copyright, and trademark enforcement shaping innovation
Data Privacy:	Data Privacy Act, IP protection, and national data laws affecting digital businesses globally
Competition Law:	Anti-trust regulation preventing monopolistic practices and mergers

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- **PESTEL Analysis**

Environmental Scanning

Systematically monitor macro-level changes that could disrupt or create opportunities in the business environment.

Strategic Opportunity ID

Identify emerging opportunities from demographic shifts, tech trends, or regulatory changes before competitors.

Risk Management

Anticipate threats from political instability, economic downturns, or tightening environmental regulations.

Market Entry Analysis

Assess the macro conditions of new geographic markets before entering to reduce expansion risk.

Stakeholder Alignment

Align corporate strategy with social expectations, ESG mandates, and evolving legal requirements.

Long-Term Planning

Incorporate macro trends into strategic roadmaps and scenario planning for 3–10 year horizons.

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- **Why is theories matter?**

  "Information systems are the infrastructure of modern civilization — shaping how organizations operate, how decisions are made, and how societies evolve."

Individual Level

How do people decide to adopt and use information technology?

Organizational Level

Does the system actually deliver value and achieve business goals?

Societal Level

How do innovations spread and reshape communities and cultures?

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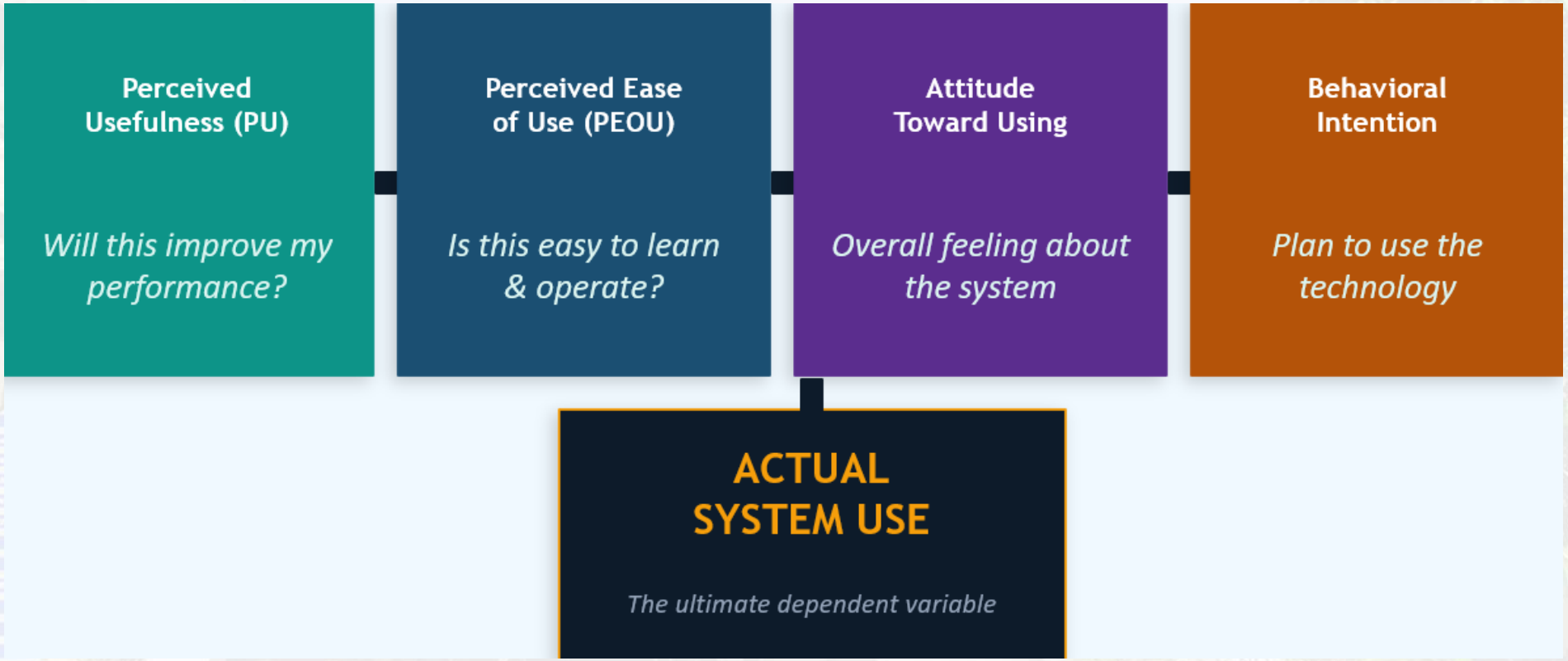
- **Technology Acceptance Model (TAM)**

Davis, F. D. (1989). Perceived usefulness, perceived ease of use, and user acceptance of information technology. *MIS Quarterly*, 319–340.



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- **Technology Acceptance Model (TAM)**

Real-World Applications

E-Banking & Fintech

TAM predicts mobile payment adoption; PU drives usage when financial incentives exist.

Telemedicine

Ease of use concerns dominate among elderly; usefulness drives clinician adoption.

E-Learning Platforms

Perceived usefulness of LMS tools predicts student engagement and academic outcomes.

E-Government

Citizens adopt digital services when they perceive clear utility and simple interfaces.

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- **Delone and McLean IS Success Model**

DeLone, W. H., & McLean, E. R. (2003). The DeLone and McLean model of information systems success: A ten-year update. *Journal of Management Information Systems*, *19*(4), 9–30.

1. Information Quality

Accuracy, completeness, timeliness, relevance & consistency of system outputs.

2. System Quality

Technical performance: reliability, response time, ease of use & flexibility.

3. Service Quality

IT support responsiveness, empathy & technical competence of service delivery.

4. Information Use

Frequency, voluntariness, and depth of engagement with system information.

5. User Satisfaction

Overall affective response to IS experience — features, outputs, and support.

6. Net Benefits

Positive impact on individuals, organizations, industries, and society.

Dimensions of IS Success

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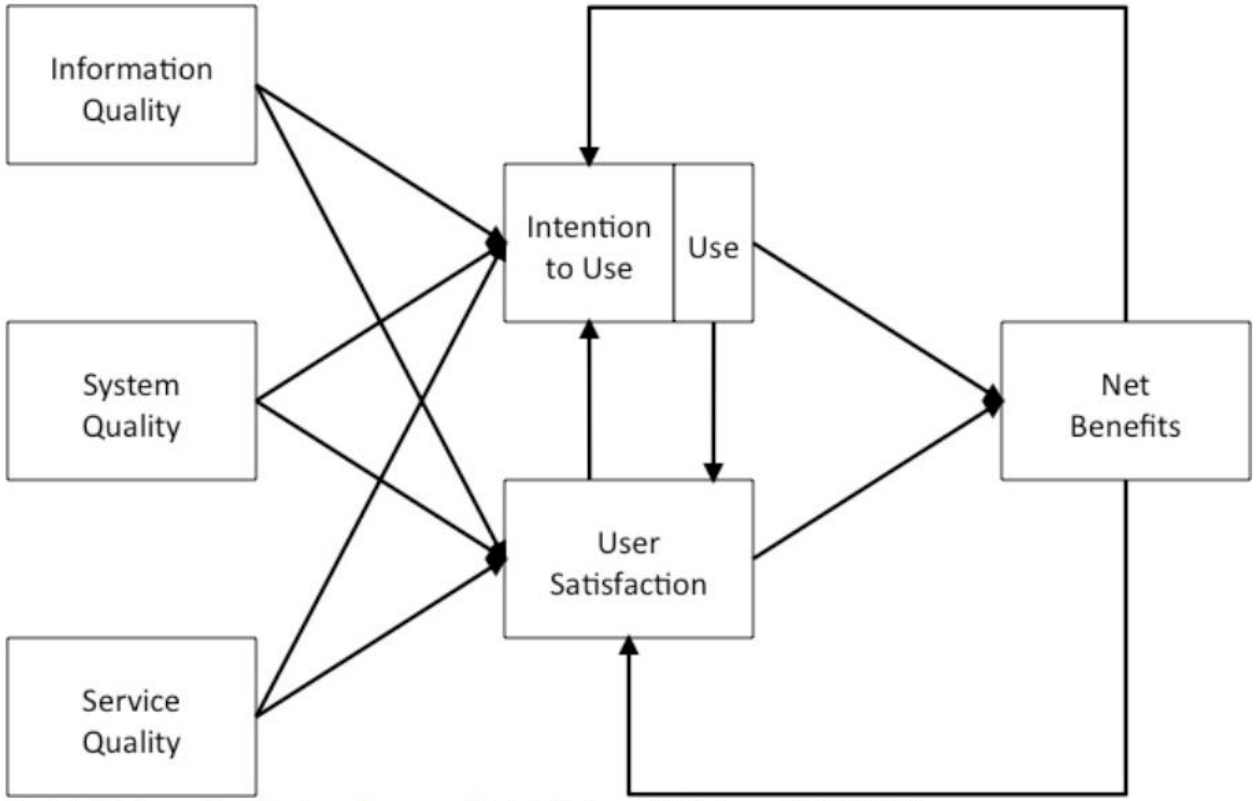
- **Delone and McLean IS Success Model**



Updated Information Systems Success Model (DeLone & McLean 2002, 2003)

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- **Diffusion of Innovation**

Rogers, Everett M. (1962). Diffusion of Innovations. The Free Press. New York
Rogers, Everett M. (1995). Diffusion of Innovations. 4th ed. New York: Free Press
Rogers, Everett M (2003). Diffusion of Innovations. 5th ed. New York: Free Press

- DOI theory sees innovations as being communicated through certain channels over time and within a particular social system.
  - Individuals are seen as possessing different degrees of willingness to adopt innovations and thus it is generally observed that the portion of the population adopting an innovation is approximately normally distributed over time
  - Breaking this normal distribution into segments leads to the segregation of individuals into the following five categories of individual innovativeness (from earliest to latest adopters): innovators, early adopters, early majority, late majority, laggards

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- **Diffusion of Innovation**

Adopter Category	Characteristics	Strategy to Use
Innovator	Risk takers, always the first to try new products and ideas	Simply provide them with access to the new system and get out of their way
Early adopter	Opinion leaders whom others listen to and follow, aware of the need for change	Provide them assistance getting started
Early majority	Listen to and follow the opinion leaders	Provide them with evidence of the system's effectiveness and success stories
Late majority	Skeptical of change and new ideas	Provide them data on how many others have tried this and have used it successfully
Laggards	Very conservative and highly skeptical of change	Have their peers demonstrate how this change has helped them and bring pressure to bear from other adopters

Stair, R. and Reynolds, G.(2020). Principles of Information Systems. 14th edition. Cengage Learning

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- **Diffusion of Innovation Theory**

01	02	03	04	05
2.5%	13.5%	34%	34%	16%
Innovators	Early Adopters	Early Majority	Late Majority	Laggards
First to adopt; risk-takers comfortable with uncertainty and potential failure.	Opinion leaders who carefully evaluate before adopting and influence peers.	Deliberate adopters; represent the critical mass needed for widespread diffusion.	Skeptics who adopt only after most others have and social pressure mounts.	Traditionalists; last to adopt, often only when technology becomes unavoidable.

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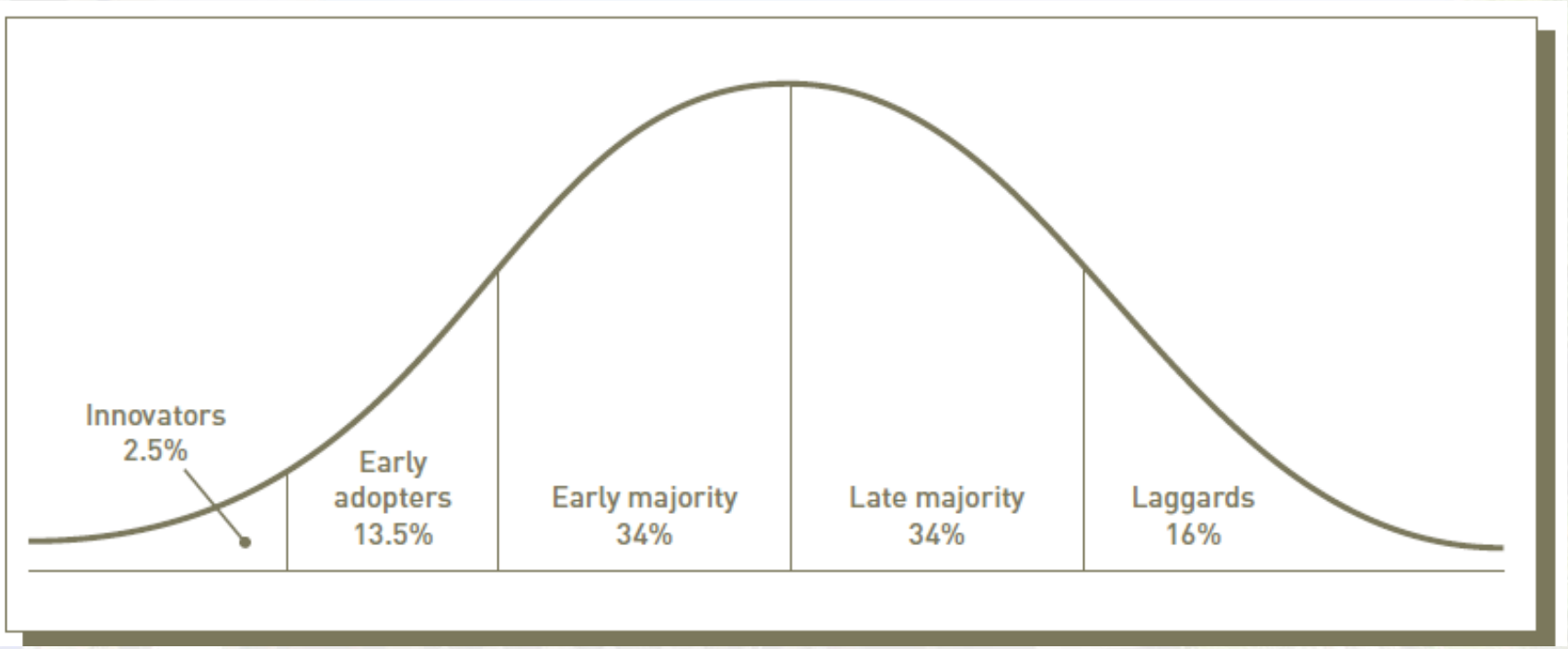
- **Diffusion of Innovation Theory**

S-Curve of Technology Adoption: Starts slowly → accelerates at Early Majority (critical mass) → slows as Laggards remain



Stair, R. and Reynolds, G.(2020). Principles of Information Systems. 14th edition. Cengage Learning

Unit 1 – Foundations of Business Performance Evaluation

- **Diffusion of Innovation Theory**

Relative Advantage

Degree to which an innovation is perceived as better than what it replaces. Greater advantage = faster adoption.

Compatibility

Consistency with existing values, past experiences, and needs of potential adopters.

Complexity

Perceived difficulty of understanding and using the innovation. Lower complexity = higher adoption rate.

Trialability

Ability to experiment with the innovation on a limited basis before full commitment.

Observability

Visibility of results to others in the social system. Visible benefits accelerate diffusion.

Unit 1 – Foundations of Business Performance Evaluation

- **Diffusion of Innovation**

Organizational Strategy

Technology Rollout Planning

Target innovators first to build momentum before broader deployment.

Change Champions

Early adopters as system champions drive broader organizational buy-in.

Digital Transformation

DOI predicts resistance zones and guides targeted adoption interventions.

Societal Applications

- Digital Divide: DOI explains why laggards lack access to digital services and guides policy for bridging equity gaps.
- Public Health Informatics: Applied to EHR adoption, mHealth apps, and telemedicine — especially critical post-COVID.
- Government Services: DOI informs e-government rollout strategies to reach all citizen segments.
- Digital Literacy Programs: Identifies which communities need targeted interventions to cross the adoption threshold.

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TAM	DeLone & McLean	DOI
Will users ACCEPT?	Will users SUCCEED?	Will users SPREAD?
Predicts whether individual users will adopt the system based on usefulness and ease of use perceptions.	Evaluates whether the system delivers quality and generates genuine net benefits once adopted.	Explains how adoption diffuses across the organization and society over time via social channels.

Together: Design systems users accept → Ensure quality and value → Scale adoption across the organization and society

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IS theories are not just academic frameworks — they are practical tools for building technology that serves people and transforms society.

User-Centric Design

TAM reminds us that no system succeeds without user acceptance. Design for perceived usefulness first.

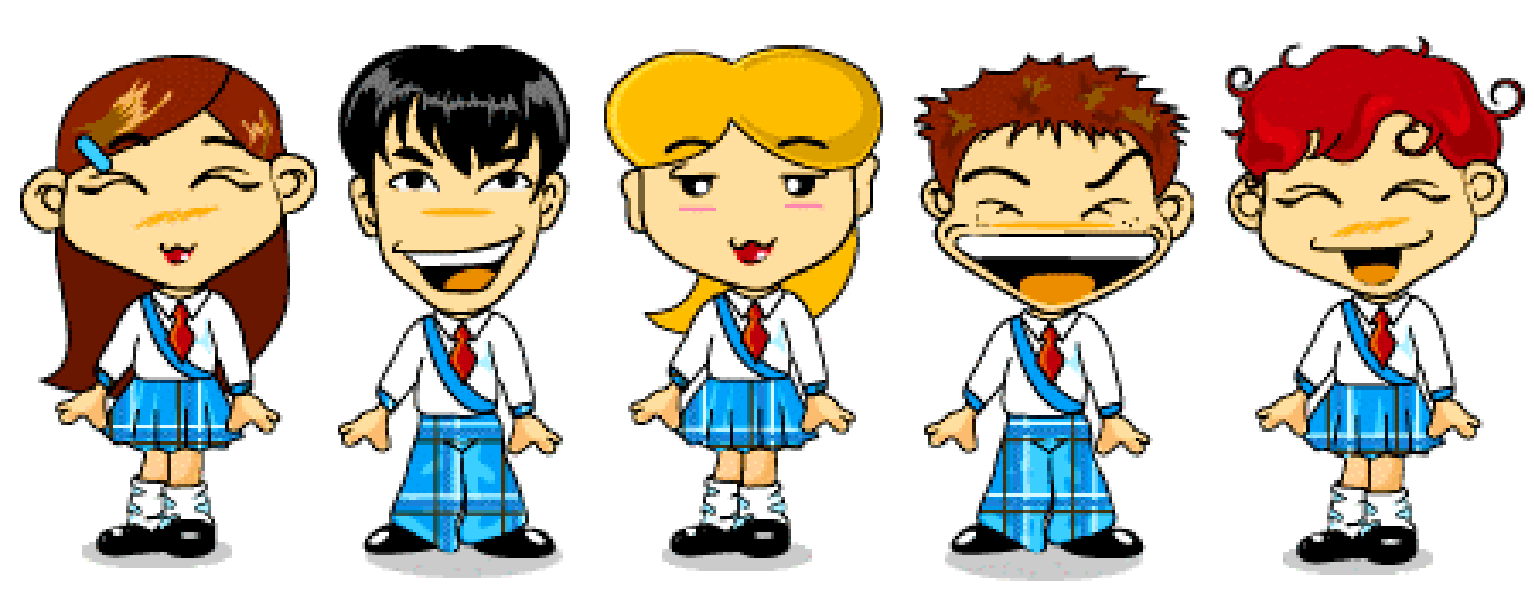
Holistic Success Metrics

DeLone & McLean show that IS success spans quality, satisfaction, and real net benefits — not just deployment.

Social Dynamics Matter

DOI reveals that technology spread depends on social channels, opinion leaders, and innovation characteristics.

Societal Responsibility

All three theories converge on a shared truth: IS impact extends beyond organizations to communities and society.

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